NVIDIA CORP NVDA S

March 18, 2025 - 9:39am EST
by lars

			2025	2026
Price:	117.50	EPS	0	0
Shares Out. (in M):	25	P/E	0	0
Market Cap (in $M):	2,950	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

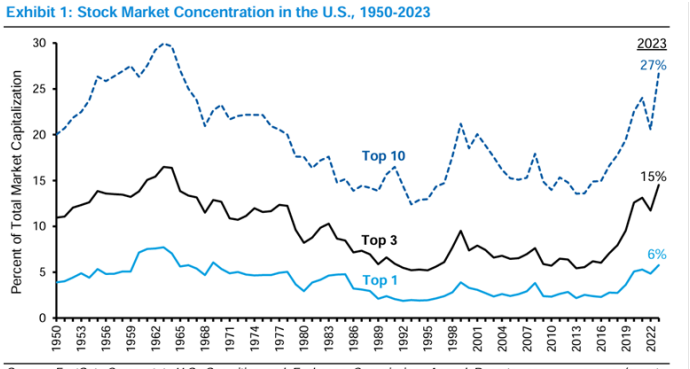
Are FLOPS the new eyeballs?
The Internet Bubble as analogy to AI: the transition from a boom/bust cycle (we've only just started the bust) to value creation in the application layer.

Summary
Tariffs are the main headline these days, but they are just a catalyst to tighten/reverse/raise the cost of capital and tip the real risk in the market – the AI infrastructure ecosystem – into a negative reflexivity tailspin. I think if you look back at any bear market, the "real risk" at the time was where the leverage / reflexivity was. I believe that in this cycle, the leverage / "real risk" is in the AI infrastructure ecosystem. I believe this segment of the market, as evidenced by the massive valuations in big cap tech and extreme concentration in the stock market, has been in the boom part of a classic boom/bust cycle, akin to Internet / telecom infrastructure in ~2000. Classic signs of a boom/bust cycle are present: high capital intensity, external funding, lack of focus on commercial viability, KPIs that have nothing to do with profit, and sketchy behavior by corporate executives at key companies. NVDA is the posterchild for the AI infrastructure boom and lies at the heart of the reflexivity and leverage in the ecosystem. The recent market weakness, catalyzed by tariffs, as well as AI-related headlines like DeepSeek, have tipped the AI infrastructure ecosystem firmly into the bust part of the cycle. Over-ordering, lengthening lead-times, rising prices, accelerating revenues and profit margins, accelerating valuation multiples and stock prices, and the resulting larger and richer capital raises of privately-funded AI companies are in the process of reversing and becoming self-reinforcing on the way down as they were on the way up. Short NVDA.

Context
I think that AI will very likely revolutionize many aspects of our lives over the next several decades, but I also think we're at a pivotal moment in the AI capital cycle. I do not believe that most of the long-term value creation resulting from AI will be in the companies that have attracted the most capital to-date - similar to how capital investment and value creation played out in the telecom / Internet cycle. Despite my belief that AI will likely set the stage for significant value creation in the future, I believe we're at a pivotal moment today and that many of the perceived beneficiaries of AI are poised for massive declines in their stock prices.

I think that history provides great context for how we got here and how things will play out - in particular, both the long-term characteristics and performance of the overall stock market, as well as the history of the Internet bubble.

In terms of the long-term characteristics and performance of the stock market, I'd like to set the stage with two charts below courtesy of Morgan Stanley and Yardeni Research. The first is a historical chart of stock market concentration in the U.S., and the second is rolling 10yr returns of the S&P 500. What you see is three coincident peaks, suggesting that market cycle returns are generally driven by the largest stocks in the market. In other words, exuberance in a subsegment of the market drives overall market returns, until that exuberance reverses, and causes returns to reverse. Leverage is great on the way up and hurts on the way down.



Source: FactSet; Compustat; U.S. Securities and Exchange Commission, Annual Reports, see www.sec.gov/reports; Counterpoint Global.
Note: Universe includes companies listed on the New York Stock Exchange, NASDAQ, and NYSE American stock exchanges, excluding American depositary receipts; Market capitalizations reflect calendar year-end.



Source: LSEG Datastream and © Yardeni Research. Standard & Poor's.

I think it's important to step back and ask what the markets and press are focused on today as a benchmark of AI success. In the Internet bubble it was "eyeballs" despite the fact that this KPI was in no way related to a financial return on all the capital investment being made by telecom companies. Similarly, today there is very little attention paid to, let alone concrete indication of, ROI on AI models. Also similarly, there is a new "eyeballs" driving capital raising: model performance. Just as Worldcom pushed "Internet traffic doubles every 100 days" in the 1990s, model companies today push scaling laws to justify additional capital investment. Here's Dylan Patel, well-respected author of SemiAnalysis, on a recent podcast with Lex Fridman (>5hr listen, but a good one - https://lexfridman.com/deepseek-dylan-patel-nathan-lambert/):

> "I think only Nvidia is actually making tons of money and other hardware vendors, the hyperscalers are all on paper making money, but in reality they're spending a lot more on purchasing the GPUs, which you don't know if they're still going to make this much money on each GPU in two years, right? You don't know if all of a sudden OpenAI goes kapoof and now Microsoft has hundreds of thousands of GPUs they were renting to OpenAI that they paid for themselves with their investment in them that no longer have a customer. This is always a possibility. I don't believe that. I think OpenAI will keep raising money. I think others will keep raising money because the returns from it are going to be eventually huge once we have AGI."

Let's leave aside that these same experts not only acknowledge that "AGI" is anyone's definition, that it is likely 2030 at the earliest, and that it will come at a massive expense with no clear-cut commercial model. The main point is that, as in the Internet bubble, only the equipment providers are making money – that's not sustainable.

Here's a quote from a recent FT article (https://on.ft.com/422tW4I) titled "Who needs revenue when you're a multi-billion-dollar AI start-up?" (also reminds one of this great scene from Silicon Valley - https://www.youtube.com/watch?v=BzAdXyPYKQo).

> "Last month, Thinking Machines Lab, an AI "research and product" company launched by OpenAI's former chief technology officer Mira Murati, was reported to be seeking $1bn in funding at a $9bn valuation. Assessing that on traditional metrics such as a multiple of revenue is impossible. Not only does Thinking Machines Lab generate no revenue, it has yet to specify what it might sell. Murati's former colleague Ilya Sutskever, ex-chief scientist at OpenAI, is going one further. His pre-revenue, pre-product AI company Safe Superintelligence is in talks to raise funds at a $30bn valuation."

In the Internet bubble, eyeballs did not end up being correlated with the capital cycle; Internet traffic grew exponentially and unabated throughout the bust. Furthermore, while Jevons paradox ended up holding for the Internet in the long-run, in the short run, 97% of fiber that was laid remained unlit for a period of time and as a result capital investment plummeted and as we remember, related stock prices declined by epic amounts. I believe this happened because a) capital investment was focused on demand drivers that weren't associated with economic value, and b) use of bandwidth got more efficient. I think the same thing is happening today with a) capital investment focused on model performance and not monetization / profitability, and b) models are getting more efficient (DeepSeek, etc.).

Reflexivity in AI
George Soros's theory of reflexivity essentially states that there is a feedback loop between expectations, prices and fundamentals. I believe that this feedback loop is amplified / turbocharged when the ecosystem is not self-funding. Soros and Stan Druckenmiller have made fortunes identifying and trading both sides of the boom-bust cycles that are a function of the theory of reflexivity.

I believe that there is a significant amount of reflexivity in the AI infrastructure capital cycle. To frame this concept, I think it's helpful to break the model developers into two buckets: what I'll call the Self Funders, and the YOLOs (because they have been raising, spending and losing money like there is no tomorrow).

The Self Funders are the likes of Meta, Google, Microsoft (xAI is debatable, I suppose) – large entities with very successful and cash generative legacy / core businesses. While these businesses are self-funding, they're still investing against hope and vision, not clear-cut ROI. This is ok in the boardroom and investor meetings and calls while the reflexivity is positive, but once it's negative, the calculators come out and sober financial analysis is brought back into the discussion.

The YOLOs are the likes of OpenAI, Anthropic, Mistral, Cohere, etc. Not only are these companies losing billions of dollars, but they don't have a path to profitability either. As the AI hype has built, they have raised more and more capital at richer and richer valuations, spending and losing more and more money. Driving this positive reflexivity has been a combination of FOMO and a focus on KPIs that have nothing to do with a path to profitability. These companies are the leverage in the system. They are not sustainable in their current, or any near/medium term form, and they are likely to disappear / get rescue funding / become acqui-hires for the Self Funders. As that bust plays out, not only will these companies stop ordering GPUs, but the GPUs that they own or rent will become available.

Furthermore, the acceleration of the capital cycle for these models is amplified downstream to their capital equipment providers – the data center, networking, electrical, cooling companies, and of course NVDA. As the model companies raise money, they recognize they are in a race and they invest first and ask questions later. Lead times go out, prices go up, margins expand, stock prices go up, more money is raised…the self-reinforcing good times roll. As this has happened, not only have revenues accelerated for the capital equipment companies and NVDA, but margins have expanded and so have valuation multiples. Leverage is so nice on the way up.

The "DeepSeek moment" is real, I believe – I think we'll look back and recognize that moment as when the reflexivity in the AI infrastructure boom/bust cycle went from positive to negative. Since then you've had MSFT making negative comments re: capex, you've had intense skepticism around a very sketchy-looking CoreWeave IPO, and now you're having follow-on DeepSeek-like announcements with Manus and likely another DeepSeek release imminent (https://www.reuters.com/technology/artificial-intelligence/deepseek-rushes-launch-new-ai-model-china-goes-all-2025-02-25/#:~:text=Deepseek%20had%20planned%20to%20release,reason%20in%20languages%20beyond%20English). And now you've got tightening financial conditions across the entire capital markets ecosystem as tariff concerns abound. As a result, stock prices are down, valuation comp tables are looking tougher, and capital raising prospects are looking dicey. The bust part of the cycle has started.

Why NVDA?
My recommendation is to short NVDA, however I think that many companies across the industrial, power and networking landscape will also be subject to significant corrections in their stock prices as the capital cycle in AI infrastructure investment reverses.

I'm focused on NVDA because it's big, it's liquid, I think it is easily recognizable as the Cisco of its era, and it is a case study in reflexivity within the context of a boom/bust cycle. NVIDIA was instrumental in kickstarting the positive reflexivity flywheel – they've funded many of the YOLO models, CoreWeave, etc. - https://techcrunch.com/2025/01/11/nvidias-ai-empire-a-look-at-its-top-startup-investments/ - money-losing customers who took NVDA's cash, turned around and bid up the frenzy for NVDA's own GPUs. Jensen, strutting in his black leather jacket and making claims like "software is eating the world, but AI is going to eat software" has only turned up the heat and lathered up the investment community. Not only that, but it looks like they may have knowingly allowed companies like Super Micro (Jensen and SMCI's Charles Liang are well-known friends - https://fortune.com/2024/06/04/super-micro-computer-fortune-500-debut-data-center-

servers-training-ai-models-nvidia-chips/) to smuggle chips into China – a quote from Dylan Patel of SemiAnalysis on the aforementioned Lex Fridman podcast:

> "I saw a photo from someone in the semiconductor industry who leads a team for networking chips that competes with NVIDIA, and he sent a photo of a guy checking into a first class United flight from San Francisco to Shanghai or Shenzhen with a super micro box that was this big, which can only contain GPUs, right?".

I believe two factors are going to drive materially negative profit revisions for NVDA in the short to medium term: 1) volumes and 2) ASPs and margins.

On volumes, I think most if not all of the YOLO model companies will cease to exist. The podcast I just mentioned was super bullish re: the potential of AI but was also full of cognitive dissonance including acknowledgement of the amount of money that companies are currently losing, the lack of commercially viable products, and the fact that models are getting better and cheaper. Towards the end of the podcast Lex asks:

> "But X, Google, and Meta have these other products. So isn't it likely that OpenAI and Anthropic disappear eventually?"

I believe the answer is yes. I think Sam Altman will end up being chastised for not hitting the bid on Elon's $97.4b. I think that lower stock prices will lead to down rounds and eventually rescue funding / acqui-hires by the self-funding models of Anthropic, OpenAI, Cohere, Mistral, etc. Not only will the volumes from these models go away / decline materially during this process, but it will also take the heat off of the self-funding models and cause them, encouraged in addition by more judicious capital markets, to be more discerning with their spend.

On prices, I think that ASICs and other new chips will pressure ASPs in addition to volumes. Amazon is developing its new Trainium chip supposedly for $4k ASP (https://www.theinformation.com/articles/amazon-undercuts-nvidia-aggressive-ai-chip-discounts). Clearly Trainium and Blackwell chips have different characteristics and capabilities, but this dynamic, along with lower demand, will put intense pressure on NVDA's prices and margins. Google is developing cheaper chips - https://www.theinformation.com/articles/google-taps-mediatek-cheaper-ai-chips?Fds-Load-Behavior=force-external. Startups like Groq are developing alternatives to NVDA - https://techcrunch.com/2024/08/05/ai-chip-startup-groq-lands-640m-to-challenge-nvidia/?guccounter=1&guce_referrer=aHR0cHM6Ly93d3cuZ29vZ2xlLmNvbS8&guce_referrer_sig=AQAAADWb1kRDPHZ3GBKl4wmSOcayG163okjLdJvdzHaMrPv-utoZDjOzLTxh.

With lower volumes and some ASP pressure towards ASIC economics, earnings at NVDA could fall materially. Multiples typically compress with earnings revisions, likely accelerating the downside. NVDA shares could fall another 60% and it would still be a trillion dollar market cap company.

On a related note, here is Stan Druckenmiller from an interview with NBIM's Nicolai Tangen last November:

> "I did an interview on Nvidia, I think it was like 370 or something, and I said, this is one we're probably going to own for a few years. But I didn't think it was going to go to 900 in a year, and to over a $2 trillion market cap, I think it just started like 100 billion or 150 billion. It was something crazy. So no, I don't necessarily sell early. I'm a technician, so I usually wait for tops. Nvidia had no top. A top is something the rate of change of it's going up changes and it tends to flatten out for quite some time. The trick is in the technical world, that can end up being a bull flag where it's just consolidated for a bit and then it's hit a new leg or it could be a top where that was it. And how do you know which is which? You don't. You have an opinion and you express it and sometimes you're right and sometimes you're wrong. With Nvidia, there was no top, but I just, I've analyzed the semiconductors industry**,** not particularly well, but since the 1970s, and it's a cyclical industry. And I knew Nvidia had staying power and they had 4,000 software engineers, so it wasn't just hardware. You know, they have a CUDA, this thing called CUDA software that they do to make their GPUs. But I just thought once it went through $2 trillion, this is just too much. And worst case, it'll have a big correction, I'll get another chance."

Why does Stan call himself a technician and look for tops? I believe it's because he's looking for the switch from positive to negative reflexivity. His comments re: the cyclicality in the industry suggests he recognizes the potential for a boom/bust cycle here. Not to mention these two quotes, which I think support the framework I'm putting forward:

> "We've never had a bear market start without the leadership narrowing, and it's narrowing enough that you're starting to get toward a necessary condition being satisfied. But it's early, but it's a yellow light, it's not a red light. That's how I read it. The AI boom is going unabated, Nikolai. I think the private sector just sees it as an existential threat to their business if they don't spend money on it, because if they don't spend money on it because if they don't spend money on it and their competitors do and their competitors are right, they're going to have a big, big competitive problem."

> "we started with picks and shovels, which is Nvidia, and to some extent Microsoft, but now we are seeing just massive amounts of capital being spent by these modelers. And if AI is for real and I think it is, they are all going to give you the same answer, so we are going to have four or five companies will spend massive amounts of capital, but I don't see it as a winner-take-all model. On the other hand, I think there are applications that I haven't even thought of, and nobody has thought of that are going to spring up. I mean, who would have thought of Uber or Facebook when the internet started. So we're very bullish on AI, but we're not bullish currently on exactly where we're supposed to be and how to play it aggressively. Not unlike the internet in 2000, 2001, you could have believed in the internet not been exposed and then got your exposure on a more timely basis."

Interestingly, from the Lex Fridman podcast I referenced before – "I don't think it's winner take all". I think both Stan's comments and the Lex Fridman podcast strongly support the idea of a reflexive, boom/bust cycle in AI infrastructure, eventually leading the way to value creation at the application layer. Altimeter Capital Partner Apoorv Agrawal is more succinct and articulate than I am on this thought process - https://www.tiktok.com/@cnbc/video/7468806821243964718.

While that value creation at the application layer is an exciting prospect, in the meantime, just as with fiber, we could have a temporary glut of GPUs, Jensen Huang could end up looking like the Jack Welch of tech – having artificially (no pun intended!) inflated demand by financing unsustainable customers - and NVDA could go down another >50%.

Conclusion

The bull case for NVDA is that it "only" trades at ~25x earnings. But how much of those earnings are generated from customers with no business models, let alone profits, and many of which NVDA themselves have funded? And what should those earnings be capitalized at given their lack of sustainability? I believe the direction of those profits, and their multiple, have been kicked into negative reflexivity by the recent shift in the financial markets. The Trump Put is on bonds, not stocks. The folks who got Trump elected don't own stocks,

they've got debt and lots of bills. Scott Bessent knows this, I think he's gotten Trump on board with this. I think the process of getting the 10yr yield lower has kicked the AI infrastructure boom into negative reflexivity, and is going to be a rough process for NVDA.

I recently read *A Brief History of Intelligence: Evolution, AI, and the Five Breakthroughs That Made Our Brains* by Max Bennett – it is a fantastic account of the evolution of intelligence, and how we at the same time have learned so much but still know so little about how the human brain works. Does it make sense that we are kicking off projects like Stargate that will consume the amount of power equivalent to a decent-sized city in the search for a profoundly deflationary impact via the technological recreation of something we still know so little about? I don't know, and while I think we'll probably get there in the long run, in the short run I think we've got another boom/bust cycle providing fodder for some good magazine articles, books and movies. Maybe some of this new AI we've got laying around will write / produce a few of them…actually, in a fitting tribute to the past, it will probably be done by cheaper AI in China (https://www.scmp.com/tech/tech-trends/article/3301557/tencent-heats-ai-video-generation-competition-china-new-open-source-product).

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- GTC
  - Of course Jensen will be uber-bullish – sell the news.
- CoreWeave IPO gets pulled
  - Business model is essentially buying from one customer (NVDA) and selling to another customer (MSFT).
  - 62% customer MSFT has recently made bearish comments re: demand.
  - New customer OpenAI is burning cash, getting equity (that doesn't sound desperate!), and doesn't sound like it is held to any hard and fast demand commitments.
  - CoreWeave is not profitable despite likely dramatically overstating the useful lives of its assets.
  - Founders have sold ~$500m of stock pre-IPO, have backgrounds as natural gas traders (i.e. not technology executives), and started CoreWeave as a crypto mining company.
  - The S-1 states that CoreWeave has a material weakness in its controls.
- Capex revisions at model companies
  - MSFT already giving negative signals.
  - Mistral sounds like it is quietly trying to explore a sale.
- Down rounds for the YOLO model companies
  - Once capex goes in reverse, so will valuations.
- Rescue funding / acqui-hires of the YOLO model companies
  - The talent that left META/GOOG/ MSFT/etc. to start these companies will migrate back to companies that can actually pay them.

Messages

Subject Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/21/2025 01:43 AM
Member Thor25

Great writeup, gave a high rating and think it works. But similar to the Dotcom bubble, shouldn't we be shorting other derivatives rather than what is probably the AMZN of AI? Like, NVDA probably draws down 50% sometime in the next couple years, maybe even 70%, but ultimately there is real terminal value here whereas there may be none at some of these other AI plays. Also they are doing things to capture more value in the stack (CPO, switches, etc.). Can we start throwing out some ideas for zero terminal value AI plays (realize a lot of that has been done in the NBIS thread)? Coreweave I guess is a good one.

Subject Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/21/2025 09:22 AM
Member lars

Thanks, Thor25. I certainly think there will be terminal value in NVDA in the long-term, but in the short/medium-term I think of it more as Cisco than Amazon - a mostly hardware business prone to sharp supply/demand imbalances. Furthermore, I think that Jensen, regardless of his intent, has encouraged and helped prop up a huge segment of the demand base that has no commercial viability (CRWV, Cohere, Mistral, etc.) and will thus cease to exist in the near/medium-term.

And I think that things could get ugly quickly. Consider this quote from the FT this morning re: CRWV's debt: "That bill will rise this year to about $3.5bn because of principal payments and interest on a $4bn loan that it must start paying in October, and a $1bn loan that matures in December and must be paid in full. The terms of CoreWeave's borrowing require it to quickly pay down its debt to offset the rapidly depreciating value of the chips it puts up as collateral. Nvidia's Huang this week joked that he was the "chief revenue destroyer" of his chipmaker because its newest line of high-performing AI chips, Blackwell, make its previous generations of products seem obsolete."

to your point though, I do also think that there are smaller shorts with more terminal downside - in addition to NBIS, I'd throw out CORZ, MARA, OKLO and SMR. Feel free to toss your own candidates out there - love to hear them.

Subject Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/21/2025 09:25 AM
Member S. N. Harper

Piggybacking this, I guess I would have to ask, "What will make the index funds/allocators sell?" and "Will AUM allocated to AI-related products increase or decrease over our thesis horizon?"

Agree, NVDA is obviously expensive using a traditional framework. But isn't price set by structural buyers? No real view here.

Subject Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/21/2025 09:39 AM
Member lars

Not trying to be snarky - I honestly don't understand your question. I think that price in the short term is set by a variety of factors, many irrational, and I think that price in the long run is set by fundamentals and interest rates - I think terms like "structural buyers" are dangerous to throw around in reflexive situations, but I guess I'm characterizing as well. Re: what will make people sell, I tried to lay that out for you in the catalyst section. Hope that helps. Apologies if I missed the mark.

Subject Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/21/2025 01:51 PM
Member Thor25

Fair point on Cisco vs. Amazon (and you laid that out well in your original post). The obvious ones to me are the cluster operators / aspirants (the ones you mentioned and also WULF etc.) and the stock promotions, which are getting listed out in the other NVDA thread that had Jeff Emanuel's legendary comment. Stock promotions are great but you obviously can't size them. What would be awesome would be to find some levered S92 / SEDG's on the component side with debt, overinflated backlogs, getting valued on E and not some pie in the sky promotion and then orders evaporate the earnings get whacked and maybe debt issues. Those types of shorts are so great because they can be sized and pressed on the way down. Seems like a prompt for Gen AI honestly, i'll try it out...but that's what I'm starting to work through now.

Subject Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/25/2025 12:03 AM
Member virtualodin

Funny to see this is in a short NVDA thread...

"seems like a prompt for Gen AI honestly"

:)

Subject Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/25/2025 07:59 AM
Member lars

Agreed - thought the same thing. I just don't think that use of / interest in AI is necessary correlated with the investment cycle, similar to the Internet:

In the Internet bubble, eyeballs did not end up being correlated with the capital cycle; Internet traffic grew exponentially and unabated throughout the bust. Furthermore, while Jevons paradox ended up holding for the Internet in the long-run, in the short run, 97% of fiber that was laid remained unlit for a period of time and as a result capital investment plummeted and as we remember, related stock prices declined by epic amounts.

Subject Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/25/2025 07:42 PM
Member Thor25



Subject Re: Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/26/2025 11:22 AM
Member lars

As relates to this thread too, fwiw:

https://www.bloomberg.com/news/articles/2025-03-26/microsoft-abandons-more-data-center-projects-td-cowen-says?srnd=homepage-americas&embedded-checkout=true

Subject Re: Re: Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/26/2025 11:45 AM
Member Thor25

One short that is higher quality than many of the others listed - ANET. Lots of executives left recently to start an alternative networking company. CLS and NVDA competition heating up. Will do more thorough writeup at some point.

Subject Re: Re: Re: Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 03/26/2025 11:58 AM
Member Thor25

higher quality of business, not idea should clarify

Subject CRWV unravelling
Entry 03/27/2025 09:41 AM
Member lars

I think we're seeing major cracks in the AI infrastructure ecosystem. CRWV pricing and size down significantly - will likely cause a run on the book given the reliance on external funding - I don't think the deal will get done. Reuters / Bloomberg reporting that OpenAI won't be cash flow positive until 2029 and that Softbank leading the attempted fundraise (by borrowing - funding an equity commitment for a cash-burning company by borrowing...sounds dicey), joined by Coatue and Magnetar. Coatue and Magnetar are investors and lenders to CRWV - I think they're desperately trying to prop up this house of cards. SNX today reporting a demand pause by Hyve customers - likely Meta given Oracle is ramping...so Microsoft perhaps not the only major AI co pulling back. People should be buying SNX today and shorting NVDA/NBIS/CORZ, I think.

Follow-up: CoreWeave expected to lower size of IPO to 37.5M shares (from 49M), price at $40/sh vs prior expected $47-55/sh range -- Bloomberg

https://www.reuters.com/technology/artificial-intelligence/openai-does-not-expect-be-cash-flow-positive-until-2029-bloomberg-news-reports-2025-03-26/

https://techcrunch.com/2025/03/26/openai-will-reportedly-close-its-softbank-led-40-billion-round-soon/

Subject Re: CRWV unravelling
Entry 03/27/2025 11:27 AM
Member lars

Jack Welch would be proud.

Headline: Nvidia Plans to Anchor CoreWeave IPO with $250 Million Order, CNBC Reports

Subject Nice timing. Where would you cover?
Entry 04/04/2025 12:57 PM
Member SamPR

Great writeup with excellent timing. Two questions:

1) Does the market turmoil from this week increase the likelihood that tech companies reduce investment, therefore causing Nvidia earnings to fall?

2) Where do you think Nvidia shares would have long-term value? $50? More or less?

Subject Re: Nice timing. Where would you cover?
Entry 04/04/2025 06:43 PM
Member lars

Thanks, SamPR.

On your first question, without a doubt the market turmoil increases the likelihood that companies reduce their investment. The AI ecosystem is not self-funding. It is funded by other businesses (in the case of MSFT, META, etc.), debt (in the case of CRWV, Softbank's equity investments, etc.), and VC funding. On the first, we have seen time and time again public companies become more discerning with their capital spend as their stock prices decline and investor pressure rises - I believe we've seen this at MSFT already and think we're perhaps starting to see it at META. On debt funding, credit spreads are rising rapidly, and some of the debt financing in this sector was already quite expensive (look at CRWV's capital structure, for example). On VC funding, it is very pro-cyclical - I think you can look at the public capital markets as a gauge and today we saw several large companies shelve their IPOs. This whole ecosystem is levered and relies on external capital - the tide is receding quickly.

On your second, I think the stock goes significantly lower. It is very difficult to put a number on how much of NVDA's volume comes from models that ill disappear - both because there are a lot of them and they're private, and many of them use capacity from the large, public self-funding companies. That said, I think you can look at the amount of funding that has gone into these businesses and conclude that it is a large portion of the demand. Take that with the fact that like in most short-term S/D imbalances there has likely been double-ordering, irrational pricing, etc., and I think earnings revisions will go significantly lower. As is typical with any stock, I expect the earnings multiple to continue to compress as earnings revisions contract.

A follow-on might be "well if you don't have an earnings target, how are you looking at timing / execution", and that's why I tried to lay out a few signposts in the catalyst section. GTC came and went and the stock declined. The CRWV IPO was downsized massively and basically only went bc most went to insiders - so to me it was effectively pulled. MSFT's recent newsflow re: canceling data center leases is essentially the beginning of negative capex revisions. From here I think you're going to see the prisoner's dilemma spend situation among MSFT/META/etc. fall apart, and you'll see companies like Mistral, Cohere, and any number of smaller AI companies do down rounds or have to get rescue funding. These are incredibly capital and opex-intensive businesses - I think it will get ugly quickly.

Subject Re: Re: Nice timing. Where would you cover?
Entry 04/04/2025 07:10 PM
Member gtwt

Agree with lars that "the stock goes significantly lower". My framework is more simplistic and maybe even funny to some, but I think it will reach at least $40. While this may sound like a stretch given the current level, $40 would only bring us back to the onset of the AI bubble and the peak of the 2017-18 GPU mini-bubble. This is how these vertical bubble stocks tend to work when reversed, in my experience.

P.S. Borrow has become available in CRWV!

Subject Re: Re: Re: Nice timing. Where would you cover?
Entry 04/06/2025 05:06 PM
Member SamPR

The setup feels too obvious.

1) We're due for a recession and there's now a catalyst (tariffs)

2) AI has been the most hyped sector and should get hit hard compared to other areas of the economy. By the way, AI supply chains are impacted by tariffs

3) Nvidia controlled a key bottleneck in AI. Chips are cyclical. Also Nvidia was $17 just a couple years ago.

Am I over-estimating how simple and easy this is? I don't understand how someone can still be owning Nvidia at $90 today.

Any bulls here care to chime in?

Subject Re: Re: Re: Re: Nice timing. Where would you cover?
Entry 04/07/2025 01:49 PM
Member gtwt

Today is your answer. Have to hold on to it through multi-week squeezes. Never easy.

Subject WSJ - Tariffs Are Coming for the AI Boom
Entry 04/09/2025 09:06 AM
Member lars

Rising operating costs and capital costs are a tough combo for NVDA customers who can't internally fund...

https://www.wsj.com/tech/ai/ai-industry-trump-tariff-effects-dcc5afa5?mod=hp_lead_pos4

Subject NVDA-linked structured products
Entry 04/15/2025 09:15 AM
Member lars

In the last 5min of this podcast, Louis Gave talks about his concern re: the systematic risk from a huge amount of structured product linked to NVDA and other Mag 7 / uber-growth (PLTR, for example) stocks that have been sold to HNW investors - https://www.capitalallocators.com/podcast/geopolitical-uncertainty/. Has anyone seen any data on the amount of issuance, and even better, stats around maturities, buffer prices, etc.? Here's an example of a security - tm2417458d4_fwp.pdf - you could see how the losses could quickly start to shock these investors with this kind of buffer price, leverage factor and maturity...

Subject APLD
Entry 04/15/2025 12:54 PM
Member lars

Fwiw, APLD down >30% today because finding a hyperscaler to lease their datacenter capacity is taking longer than expected. And the cloud services business, where they've been buying GPUs, saw a material decline in revenue QoQ. Who did they raise money from last fall to help them build this new capacity? NVDA, of course.

14. Subsequent Events

Private Placement

On September 5, 2024, the Company entered into a securities purchase agreement with a group of institutional and accredited investors, NVIDIA and Related Companies, for the private placement (the "Private Placement") of 49,382,720 shares (the "Shares") of the Company's common stock, par value $0.001 per share, at a purchase price of $3.24 per Share, representing the last closing price of the common stock on the Nasdaq Global Select Market on September 4, 2024. As of the date of this report, the Private Placement closed with aggregate gross proceeds to the Company of approximately $160 million, before deducting offering expenses.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 04/15/2025 12:55 PM
Member Thor25

So far the outright trash and lower quality businesses are way underperforming NVDA. Down the road we may see some mean reversion but still think shorting those makes more sense on a 1-2 year look.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 04/15/2025 01:08 PM
Member gtwt

Thor25, 100% and this is always the case, the actual or perceived leader/#1 player would always be more resilient and the last to fall. No matter what industry.

The thing is, one can size the shorts in NVDAs of the world fairly decently knowing they probably won't go bananas, while APLDs cannot be large given how volatile they are. I think there's an argument for having both in the short book at different sizes.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Is this the Amazon of AI? Shouldn't we short the Pets.com?
Entry 04/15/2025 02:31 PM
Member lars

Agree with both of you - that there are other shorts that could go down more / potentially zero, and that there's a place for both. Where I feel differently is I likely think NVDA can decline significantly more than you do. I think that there is a lot of leverage and interconnectedness in this ecosystem that is being underappreciated - whether it's NVDA funding the likes of CRWV and APLD, to private banks selling NVDA-linked structured products to HNW investors where losses accelerate with leverage after just a teens decline in the underlying stock. And this kind of behavior / fact pattern isn't just limited to the more controversial names like APLD and CRWV. OpenAI is considered the AI gold standard, but they're burning incredible amounts of cash and raising money from a notorious top-ticker who is funding his equity check via leverage on a massive valuation that is underpinned in part by revenue expectations that he is large part committing to (you may have seen, but Ed Zitron just wrote a piece on this - https://www.wheresyoured.at/openai-is-a-systemic-risk-to-the-tech-industry-2/). In the long-term, I think there's a lot of promise from AI, in the short term, the ecosystem on which it is built feels like a house of cards.

Subject Nvidia says it will record $5.5 billion charge tied to H20 processors exported to China
Entry 04/15/2025 06:27 PM
Member lars

China beating the U.S. in AI, and now another leg up for Huawei who was already seeing success.

https://www.cnbc.com/2025/04/15/nvidia-says-it-will-record-5point5-billion-quarterly-charge-tied-to-h20-processors-exported-to-china.html

https://www.techradar.com/pro/nvidia-out-deepseek-pairs-with-banned-chinese-tech-giant-to-deliver-unbelievably-low-pricing-on-ai-inference-which-could-cause-nvidias-house-of-cards-to-come-crashing

---

Subject NVDA effectively nationalized
Entry 04/15/2025 09:57 PM
Member lpartners

NVDA no longer controls where its chips get sold, its capital spending comes under government control as it can not be sure if it'll be allowed to sell what it produces. It's become a regulated arm of the security apparatus of the state. It cannot be valued based on earnings or growth or IP. Investors have no claim to any of it. Its investment in the AI ecosystem will now be directed by the MIC. Impossible to value, but a pretty good short from here.

Subject Re: NVDA effectively nationalized
Entry 04/15/2025 10:11 PM
Member Light62

Seems a bit dramatic. Do those comments also apply to, say, Lockheed Martin?

Subject Re: Re: NVDA effectively nationalized
Entry 04/15/2025 10:21 PM
Member lpartners

No. LMT has the government as a guaranteed customer. Its products are promoted around the world by the US. Its contracts are cost plus. There is a huge lobby to perpetuate war for its benefit and other companies like it. Most of its products are sole sourced. NVDA has none of these benefits, its exposed to a highly competitive market in a capital intensive business where the government is actively trying to limit its TAM.

Subject Re: Nvidia says it will record $5.5 billion charge tied to H20 processors exported to China
Entry 04/16/2025 06:49 AM
Member ahnuld

Chinas not beating the US in AI. They managed to get close to OpenAI and Google performance cheaply. Like normal, they are knocking off us tech and underselling. But that doesnt equate to beating.

Subject	Re: Re: Re: NVDA effectively nationalized
Entry	04/16/2025 08:00 AM
Member	Light62

And yet, NVidia has plenty going for it that Lockheed doesn't. That NVidia can't sell most products to China (~15% of revenue) doesn't seem to validate the claim that it "cannot be valued on earnings or growth or IP". Throughout history plenty of companies have been unable to do business with or in substantial parts of the global economy and yet traditional valuation approaches still worked.

That said, the general point is taken and I'll chalk the specific claim up to "truthful hyperbole".

Subject	Re: Re: Nvidia says it will record $5.5 billion charge tied to H20 processors exported to China
Entry	04/16/2025 11:19 AM
Member	lars

China as it pertains to NVDA, from SemiAnalysis on Huawei's CloudMatrix 384:

The CloudMatrix 384 consists of 384 Ascend 910C chips connected through an all-to-all topology. The tradeoff is simple: having five times as many Ascends more than offsets each GPU being only one-third the performance of an Nvidia Blackwell. A full CloudMatrix system can now deliver 300 PFLOPs of dense BF16 compute, almost double that of the GB200 NVL72. With more than 3.6x aggregate memory capacity and 2.1x more memory bandwidth, Huawei and China now have AI system capabilities that can beat Nvidia's.

Subject	Re: Re: Re: Nvidia says it will record $5.5 billion charge tied to H20 processors exported to China
Entry	04/16/2025 12:01 PM
Member	ahnuld

Chips arent AI. Chips are chips. LLMs, RNNs, ML are AI.

if youre going to saw China is winning in AI thats saying they have better performing NN models. Which they do not.

Subject	Re: Re: Re: Re: Nvidia says it will record $5.5 billion charge tied to H20 processors exported to China
Entry	04/16/2025 12:28 PM
Member	lars

It's not black and white - my "winning in AI" was making a point, I will concede - there has been plenty of ink spilled on Chinese success with models, their cost efficiency, and perhaps most importantly, their focus on commercial viability. Chips may not "be AI", but they are what NVDA sells, they no longer sell them to China, China is competing hard in AI and benefits from a lot of what has caused them to win in manufacturing re: power, etc.

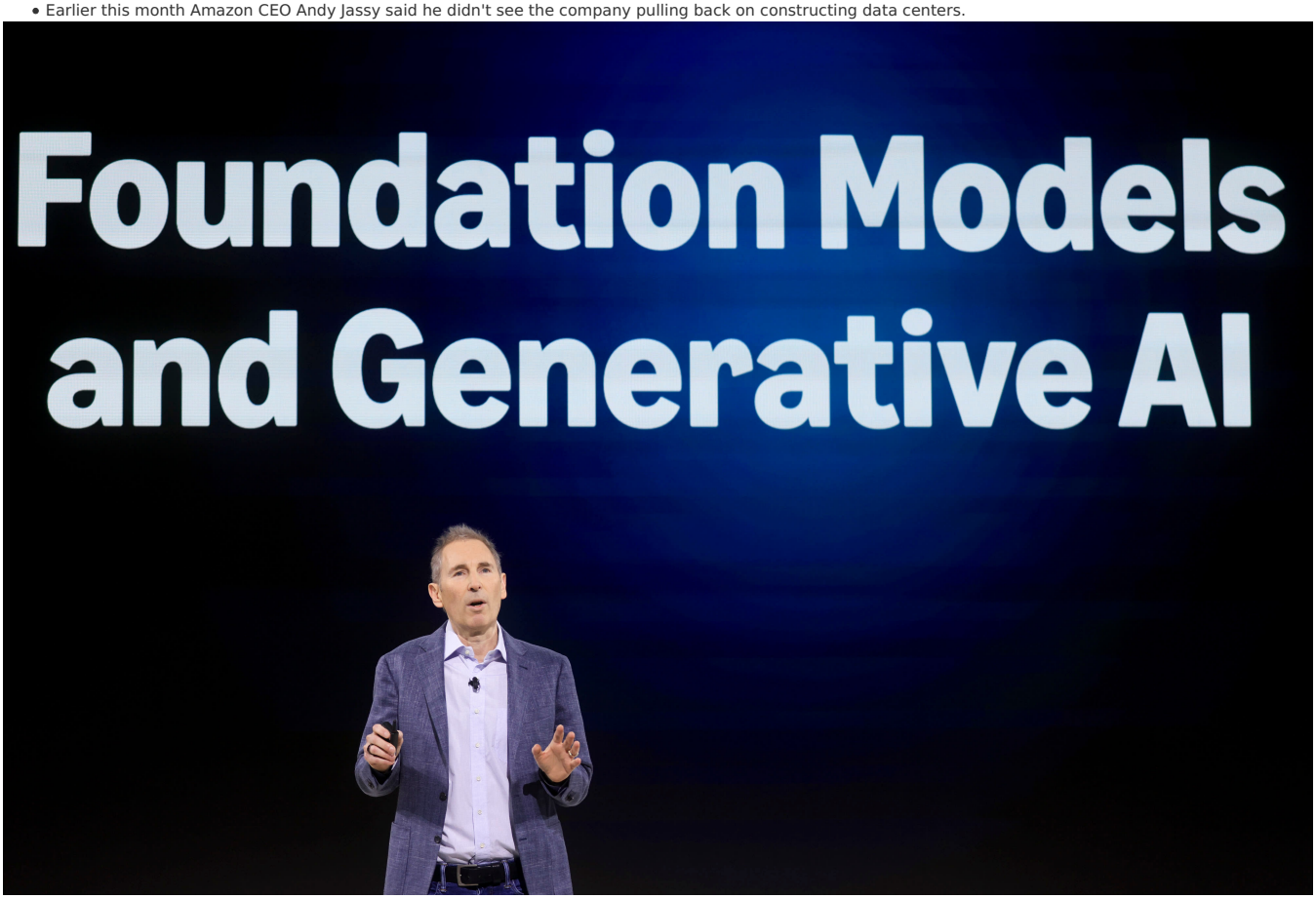
Subject	Amazon has paused some data center lease commitments, Wells Fargo says
Entry	04/21/2025 04:13 PM
Member	lars

Amazon has paused some data center lease commitments, Wells Fargo says

Jordan Novet

(CNBC.com)

- Analysts at Wells Fargo wrote in a report on Monday that they heard over the weekend about Amazon pausing lease conversations with colocation partners.
- Earlier this month Amazon CEO Andy Jassy said he didn't see the company pulling back on constructing data centers.



Amazon CEO Andy Jassy speaks at a company event in New York on Feb. 26, 2025. Amazon has rebooted Alexa with artificial intelligence, marking the biggest overhaul of the voice-activated assistant since its introduction over a decade ago. Michael Nagle/Bloomberg via Getty Images

Amazon has delayed some commitments around new data center leases, Wells Fargo analysts said on Monday, the latest sign that economic concerns may be affecting tech companies' spending plans.

A week ago, a Microsoft executive said the software company was slowing down or temporarily holding off on advancing early build-outs. Amazon Web Services and Microsoft are the leading providers of cloud infrastructure, and both have ramped up their capital expenditures in recent quarters to meet the demands of the generative artificial intelligence boom.

"Over the weekend, we heard from several industry sources that AWS has paused a portion of its leasing discussions on the colocation side (particularly international ones)," Wells Fargo analysts wrote in a note. They added that "the positioning is similar to what we've heard recently from MSFT," in that both companies are reeling in some new projects but not canceling signed deals.

Tech stocks have been pressured across the board his year as **President Donald Trump's** proposals for widespread tariffs raised the prospect for dramatically higher costs on imports of equipment while also threatening to slow the economy. Cloud infrastructure providers have been aggressively announcing plans to collectively spend hundreds of billions of dollars securing Nvidia's graphics processing units (GPUs) and building new data centers.

That was before the announcement on tariffs earlier this month. Microsoft and Amazon both report quarterly results next week. Their stock prices were down on Monday brining Amazon's decline for the year to 25% and Microsoft's drop to 15%.

An AWS spokesperson didn't immediately provide a comment. Earlier this month, Amazon CEO Andy Jassy told CNBC's Andrew Ross Sorkin that he did not see the company cutting down on data center construction.

Wells Fargo has a hold rating on Amazon shares.

Subject	What inning?
Entry	07/11/2025 11:08 AM
Member	natty813

At this point the market is being carried by NVDA along with "debasement hedges" gold and bitcoin. I guess this can just keep going as retail is the driving force?

With regards to NVDA, what inning is this?

1. Largest stock in S&P 500
2. Market cap larger than Materials, Energy, Utilities & REIT sectors
3. Market cap larger than Germany by $1 trillion plus
4. Jensen overtaking WEB in wealth

Subject Re: What inning?
Entry 07/11/2025 11:30 AM
Member natty813



Subject Re: What inning?
Entry 07/11/2025 12:32 PM
Member Shoe

It's not expensive on multiples, they're still by far in the lead, token growth continues to grow exponentially, and China revs probably will come back and be big, so still has a long way to go fundamentally

Subject Re: What inning?
Entry 07/11/2025 12:55 PM
Member afgtt2008

I just looked at Meta's cumulative capex to revenue growth for 2022-2024. Total capex over the period was $95.5 billion (they also did about $3 billion in acquisitions) while revenue growth has been $45.5 billion. If Meta was an E and P or mining company it would be valued at 5x earnings and shareholders would be screaming capital misallocation. It gets more tangled when you start thinking about useful life of the assets. D and A is currently 25% of capex. If somebody could articulate the payoff without sounding like a word salady sci-fi novel it might make things less opaque.

Subject Re: Re: What inning?
Entry 07/11/2025 01:03 PM

Member gtwt

The big 4 are generating a ton of cash and are paranoid about being disrupted by a new technology, so willing to spend the cash on anything that would allow them to stay relevant without regards to near-term moderation or IRR. So can't approach the analysis from a mathematically rational perspective. That said, AI investments like all other are a cycle, and there will be a big cooldown period - has already been in some stocks (SMCI) and I'd argue one is taking place now is smaller power- and cooling-related names. Hard to imagine NVDA being immune so I'd be careful with the E part of the P/E equation.

Subject Re: Re: Re: What inning?
Entry 07/11/2025 01:45 PM
Member afgtt2008

https://x.com/dan_jeffries1/status/1935406576694702590?s=46

I tried to post a screenshot of this but couldn't but it was reposted by Naveen Rao. If you don't know who Naveen Rao is, look up his bio.

nVidia's other problem is structural. Without getting overly technical, a GPU processes using thousands of threads. Each process requires a write from thread to memory. Processors scale exponentially while memory scales linearly. At some point the cost of HBM is going to get too ridiculous to continue trying to scale. This ignores whether scaling is even the answer to achieving something useful beyond an intelligent assistant. There are alternatives to GPUs coming in the next year. Technology has a large graveyard of early leaders that became legacy technologies. I'll admit that I thought the change to a different type of processor would happen faster than it has and was dead wrong.

Subject Re: Re: Re: Re: What inning?
Entry 07/14/2025 11:08 AM
Member RugPull1995

Seems like early innings to me

Subject Re: Re: Re: Re: Re: What inning?
Entry 07/14/2025 11:09 AM
Member RugPull1995

Whoops - meant to include this post from Zuck today

zuck 7m

For our superintelligence effort, I'm focused on building the most elite and talent-dense team in the industry. We're also going to invest hundreds of billions of dollars into compute to build superintelligence. We have the capital from our business to do this.

153 44 13 18

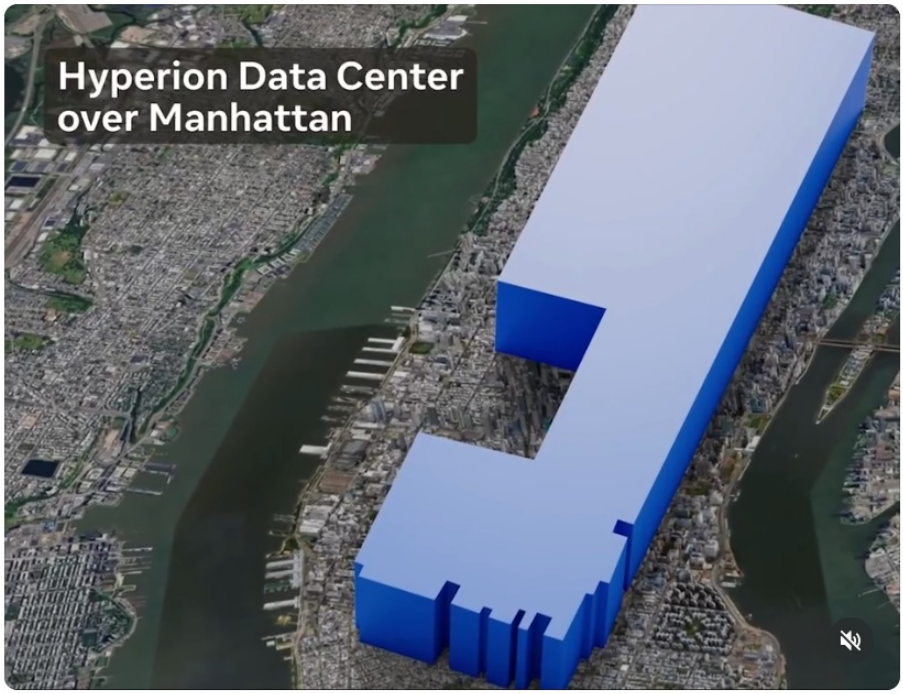
zuck 7m · Author

SemiAnalysis just reported that Meta is on track to be the first lab to bring a 1GW+ supercluster online. 💪

37 4 1

zuck 7m · Author

We're actually building several multi-GW clusters. We're calling the first one Prometheus and it's coming online in '26. We're also building Hyperion, which will be able to scale up to 5GW over several years. We're building multiple more titan clusters as well. Just one of these covers a significant part of the footprint of Manhattan.



20 2

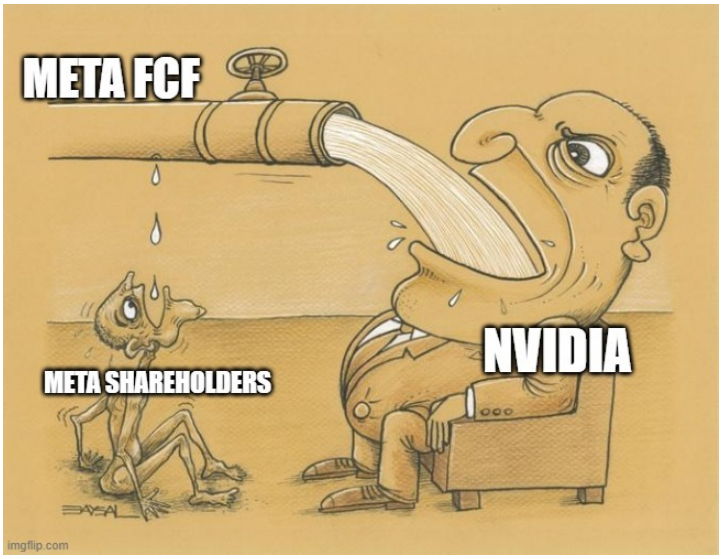
zuck 6m · Author

Meta Superintelligence Labs will have industry-leading levels of compute and by far the greatest compute per researcher. I'm looking forward to working with the top researchers to advance the frontier!

19 3 1

Subject Re: Re: Re: Re: Re: Re: What inning?

Entry 07/14/2025 06:00 PM
Member bafana901



Subject Re: Re: Re: Re: What inning?
Entry 08/21/2025 01:29 PM
Member afgtt2008

https://www.reuters.com/world/china/chinese-ai-startup-deepseek-releases-upgraded-model-with-domestic-chip-support-2025-08-21/

https://x.com/dadarstan/status/1958518440693563681?s=46

Subject Nvidia accounting - DSOs and inventory accumulation
Entry 11/21/2025 01:42 AM
Member yellow

Found this interesting: https://substack.com/home/post/p-179506626

Is there any fundamental reason why these worsening metrics may be misleading? Perhaps the power shortage that Nadella cited is leading GPU inventory accumulation? Only thing I can think of...

"Nvidia's consolidated balance sheet reported accounts receivable of $33.4 billion. Against quarterly revenue of $57.01 billion and a 91-day quarter, the Days Sales Outstanding (DSO) calculation yields:

DSO = (Accounts Receivable ÷ Revenue) × Days in Period

DSO = ($33.4B ÷ $57.01B) × 91 days = 53.3 days

This represents a 15.9% increase from Nvidia's five-year historical average of 46 days. More significantly, DSO has expanded for three consecutive quarters: Q1 fiscal 2026 showed 48.2 days, Q2 reported 50.7 days, and Q3 reached 53.3 days. The trend is both persistent and accelerating."

"Nvidia's balance sheet reported inventory of $19.8 billion, an increase of $4.8 billion or 32% from the prior quarter's $15.0 billion. This represents the fastest quarterly inventory growth rate in Nvidia's corporate history outside of major new product architecture launches.

During the November 19 earnings conference call, CEO Jensen Huang characterized demand as "significantly exceeding our supply" and cited manufacturing lead times of "10 to 14 weeks for certain configurations." CFO Colette Kress stated: "We continue to ship everything we can produce. The primary constraint on our revenue growth is manufacturing capacity at our foundry partners, not customer demand."

These statements create a logical contradiction with the inventory data. Companies experiencing genuine demand that exceeds supply with substantial order backlogs do not accumulate inventory. Economic theory and operational practice both dictate that under supply constraints, inventory should decline as companies convert existing stock into sales to fulfill waiting orders.

Historical precedent from Nvidia itself confirms this principle. When the company launched the Hopper H100 architecture in Q2 fiscal 2023—also during a period of reported supply constraints, strong demand, and manufacturing limitations—inventory declined 18% quarter-over-quarter as the company fulfilled backlogged orders.

The current trajectory contradicts both economic theory and Nvidia's own historical pattern. A 32% inventory increase during claimed shortages suggests either that demand is weaker than represented or that customers are accepting delivery of products without immediate payment capability, causing inventory to convert to receivables rather than cash."

Subject Re: Nvidia accounting - DSOs and inventory accumulation
Entry 11/21/2025 06:48 AM
Member StockOperator

NVDA's SEC Case from 2003 is an interesting read. Huang went to great lengths to beat earnings in Q1 2000. This sort of thing probably still going on.

https://www.sec.gov/enforcement-litigation/administrative-proceedings/34-48480

C. Nvidia's Conduct During the Quarter Ended April 30, 2000

1. Nvidia's Financial Performance Is Below Plan

In February 2000, the beginning of Nvidia's first quarter of fiscal year 2001, Nvidia's internal forecasting indicated that the Company was not on target to meet the consensus external expectations of stock market analysts regarding earnings per share, revenue, and gross margin. In order to address this anticipated shortfall, Nvidia's senior management immediately focused the Company on reducing costs for the quarter in order to improve Nvidia's net income and gross margin.

2. To Meet Expectations for the Quarter, Nvidia Agrees with a Supplier to Lower Nvidia's Costs In Exchange For an Agreement to Pay Higher Prices on Future Generation Products

Nvidia's single largest source of costs during fiscal year 2001 was for money due to the companies that manufactured and packaged Nvidia's graphics chips. Accordingly, in order to address its earnings shortfall, Nvidia negotiated with one of those companies ("Nvidia's Supplier") to reduce costs by approximately three million dollars for the quarter ended April 30, 2000.

In March 2000, Nvidia employees held meetings and made several requests to its supplier to reduce costs for the current quarter. These employees communicated with Nvidia's CFO to ensure that the amount of cost savings sought from Nvidia's supplier was directly correlated to the amount required to address the forecasted gross margin shortfall for the quarter. However, Nvidia's supplier was unwilling to grant the cost savings without receiving something in return. Accordingly, on March 30, 2000, Nvidia's supplier made a written proposal which offered to grant Nvidia credits during the current quarter in the amount of $3 million for costs owed by Nvidia to the supplier, in return for Nvidia agreeing "to re-pay the $3M back to [Nvidia's supplier] in August 2000 by means of" higher prices on future generation products.

The Nvidia employee who received this proposal immediately forwarded it via e-mail to Nvidia's CFO who responded by return email:

> "[We] can not sign this or have this in print. Will wipe out the credit in Q1. [N]eed to arrange this separately and trust us to abide by it."

The CFO apparently was concerned that having the agreement in print would make it plain that the credits to Nvidia were contingent on Nvidia's promise to repay the supplier in the future. In accordance with generally accepted accounting principles ("GAAP"), and specifically Statement of Financial Accounting Standards No. 5, paragraph 8, such an explicit agreement to repay the costs by paying higher prices on future products created a liability that Nvidia would have to record. Since the recording of the liability would offset the credits, the deal would provide no net benefit to Nvidia's quarterly financial results. Thus, Nvidia's CFO directed the Nvidia employee to separate the arrangement into two separate agreements.

In the first of the two separate agreements, which was signed on April 3, 2000 by an Nvidia employee at the direction of the CFO, Nvidia agreed to pay increased prices to the supplier in August 2000 in the total amount of $3,299,000. In the second of the separate agreements, signed by the supplier on April 4, 2000, the supplier granted credits and cost waivers to Nvidia in the amount of $3.3 million for the April 30, 2000 quarter. Neither agreement makes reference to the other. However, Nvidia's supplier only agreed to grant the credits and cost waivers to Nvidia based on Nvidia's promise to repay the reduced costs through higher prices in the future. Nvidia's CFO received copies of both agreements.

3. Nvidia Incorrectly Accounts for the Transactions with its Supplier, and Files a Materially False Form 10-Q for the Quarter Ended April 30, 2000

At the close of its first quarter ended April 30, 2000, Nvidia recorded on its books the credits granted by the April 4th supplier agreement, but did not make any offsetting entry for the agreement to pay higher prices in August 2000. In early May 2000 during the quarterly review by Nvidia's independent auditors, Nvidia presented the April 4th agreement as support for taking the $3.3 million cost reduction. However, Nvidia did not present to the auditors the April 3rd agreement to pay higher prices. As a result, Nvidia inflated its gross income by recording the credits but not the corresponding agreement to repay the credits.

On May 16, 2000, Nvidia issued a press release reporting record financial results for the quarter ended April 30, 2000. The reported results exceeded consensus external forecasts for revenue, income, earnings per share, and gross margin. On June 14, 2000, Nvidia filed with the Commission its Form 10-Q for the quarter ended April 30, 2000. Among the record financial results reported, Nvidia highlighted the "substantial growth in gross profit and gross profit margin" for the quarter. By including the $3.3 million in reduced costs from Nvidia's supplier but omitting any corresponding deduction for the agreement to reimburse the same amount, the press release and the Form 10-Q were false and misleading when made.

On April 29, 2002, following an internal investigation by its audit committee, Nvidia restated its financial results for the quarter ended April 30, 2000. The previously recognized $3.3 million in cost reduction from Nvidia's supplier was reversed. The restatement revealed that, as a result of the transaction described above, as originally reported, Nvidia's gross profit was overstated by 6.4%, net income by 15.3%, and diluted earnings per share by 14.8%.

Subject	Re: Nvidia accounting - DSOs and inventory accumulation
Entry	11/21/2025 05:05 PM
Member	Superflare

Yellow - I am not an NVDA expert, but given its importance to many stocks & out of curiosity, I have looked into this and short answer is yes, there appear to be fundamental reasons why inventory is higher relative to revenue in the past that have nothing to do with demand.

The nature of what NVIDIA is selling has changed somewhat with Blackwell and Rubin vs. prior generations. They are increasingly selling full rack systems with Grace Blackwell (GPU + CPU) chips, the housing for these chips, power supplies, the networking infrastructure, the cooling, etc. Their need to hold inventory has increased because it's hard to line up all of these components exactly when you need them. The networking complexity / networking % of revenue will be higher for Rubin than Blackwell/Blackwell Ultra so this dynamic will continue - where the item NVDA is selling to data center customers is less and less "just" a GPU requiring a completed wafer and packaging from TSMC, memory, PCB, etc - it's now many more parts than that, each with their own supply chains.

Secondly, a reason they gave on the call is basically given how quickly revenue is expanding, and the fragility of the supply chain, it makes sense to stock some long lead-time parts in advance of the Blackwell Ultra and Rubin ramps. This makes sense IMO. They had issues ramping up Blackwell shipments, and I'm not close to the exact reasons there but I think they want to avoid a repeat.

I think the key thing is - as far as I can tell - they are not sitting on assembled NVL72 rack systems in a warehouse awaiting orders. I also think if they were, given the scale of the business and publicity that every AI-related data point gets, you would hear about it from the channel. I don't hear data points indicating that GPU demand is weak, everything is the opposite.

Subject Re: Nvidia accounting - DSOs and inventory accumulation
Entry 11/21/2025 06:55 PM
Member bowd57

Hi, StockOperator --

Wowsers. This is Richard Nixon level stuff. Was the board derelict in not dismissing Huang?

Yours,

Bowd

Subject Re: Re: Nvidia accounting - DSOs and inventory accumulation
Entry 11/21/2025 07:24 PM
Member Light62

Empirically not. Though I suppose the unknown counterfactual always leaves space for debate.

Subject Re: Re: Nvidia accounting - DSOs and inventory accumulation
Entry 11/21/2025 08:47 PM
Member StockOperator

Hey Bowd, CFO Christine Hoberg was charged and fined. Settlement was mid 6 figures I think. Banned for 5 years. I think it’s pretty clear who the orders came from though. NVDA admitted no wrongdoing and complied with a cease and desist order for similar violations in the future.

I think it’s quite rare for trillion dollar companies to have these issues in their past which makes NVDA kind of an outlier.

What’s also clear is that Jensen clearly pays very close attention to analyst numbers and what the company has to beat. And he makes sure they beat.

I’m not going as far as to say NVDA is stuffing the channels here in 2025, but I just get a feeling that this is a cyclical business who realizes that in a few years, things may be different. And the stock price is important in keeping this whole thing going? I think Huang is very savvy when it comes to this sort of thing.

If you want to go down a rabbit hole, have a look at how they’re disclosing Singapore operations in recent 10-Q’s, and maybe how that’s changed since 2022-2023.

Subject Re: Re: Nvidia accounting - DSOs and inventory accumulation
Entry 11/22/2025 10:05 AM
Member yellow

Thank you Superflare

Subject Re: Re: Re: Nvidia accounting - DSOs and inventory accumulation
Entry 11/22/2025 12:57 PM
Member Shoe

This is all FUD. Their working capital metrics are volatile. The numbers are explainable (they addressed the inventory). And DSO and DPO are in reasonable ranges as well on an absolute basis.

Bears / click bait social media highlight this every quarter. People are just really looking for anything to nitpick and explain the price action, when it's not fundamental.

If this is the main thing bears can come up with to nitpick the quarter, I'm very comfortable.

Subject Re: Re: Re: Re: Nvidia accounting - DSOs and inventory accumulation
Entry 11/23/2025 07:51 AM
Member jso1123

Look at the actual inventory. Finished goods is drawing down. It's raw materials and WIP and they are in the middle of a massive product ramp. Plus call any customer and ask them how many excess GPUs are sitting around.

Subject anyone still tracking?
Entry 08/24/2026 04:42 PM
Member pcm983

any thoughts into earnings?